

Answer # 1

- (a) Investments are most commonly appraised using the net present value approach.

Net present value calculates the theoretical absolute gain to shareholders if a project is undertaken, and hence it aligns with the primary objective of financial management.

However, the net present value method assumes that an investment decision will be made immediately or not at all, and once made it cannot be changed. Real options, on the other hand, recognise that many investment decisions are more flexible than this.

For example, some projects can be delayed, to give management the chance to see how the environment changes before a decision has to be made. Some projects can be adapted after investment to incorporate follow-on options such as further expansions, or to abandon the project if things aren't going to plan.

Using real options theory, and the Black Scholes Option Pricing Model, this flexibility can be valued, and added to the results of the original net present value analysis to give a better picture of the true value created by the project.

The key is that if the real options give any positive opportunities, these can be exploited, whereas any downsides can be ignored (options allowed to lapse).

In some cases, a project that initially looks to be financially unviable (negative NPV) can actually be acceptable once the value of real options is also incorporated.

**Note:** Credit will be given for alternative relevant discussion.

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- (b) **REPORT (part (b)(iv))**

To: The Board of Directors, Durank Co

From: Financial Manager

Subject: Flontland investment

**Introduction:**

This report considers whether the Flontland investment should be undertaken based on a calculation of its value both before and after taking account of a potential follow-on investment. As part of the assessment, a discussion of the assumptions made and other relevant factors is provided.

**Cost of capital, and investment appraisal**

The cost of capital applicable to the Flontland project has been estimated to be 9% (see Appendix 1 for workings).

The NPV of the Flontland project is negative (–\$1.5 million) before considering the follow-on option (see Appendix 2 for workings). However, when the value of the follow-on option is incorporated, the “strategic NPV” of the project is \$4 million positive (i.e. –\$1.5m +\$5.5m) (see Appendix 3 for workings). This suggests that the investment should be undertaken, subject to consideration of the other factors that I have identified below.

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## **Assumptions made**

### **Cost of capital calculations**

In calculating the cost of capital for the new project, it was assumed that the competitor company Kloonish Co was a suitable proxy for the risk that Durank is likely to face when it expands into Flontland. There is no guarantee that this will be the case. Kloonish Co might operate in a slightly different sector, or might make different products.

Also, it was assumed that Durank Co's gearing will stay constant after the expansion. This will not be the case. Even if no new finance is raised, a new positive NPV project will create shareholder wealth so will increase the value of equity.

Finally, it was assumed that Durank Co's credit rating of A will remain the same and that the credit spread associated with this rating will be constant. Credit ratings and calculations of credit spreads are constantly being re-evaluated by credit rating agencies, so it is unlikely that everything will stay the same. Also, the existence of a credit spread of 55 basis points shows that debt is not risk free, so clearly debt beta will not be zero even though for simplicity we have assumed that it is.

### **NPV calculations**

Lots of forecasts were presented by the finance director (units to be sold, revenues, costs, investment, residual value etc.). No supporting workings are presented, so it is difficult to assess these in any more detail. Expanding into a new country and market is however notoriously unpredictable, so there is a good chance that some of these forecasts will turn out to be incorrect.

The transfer price of the component is given (fixed at \$0.50). It is assumed that this price is acceptable to the two countries' tax authorities as an "arms-length" transaction.

The tax rates are assumed to be constant throughout the project's life. These might change if government fiscal policy changes (quite likely in one country and/or the other over a four year period). Also, the tax allowable depreciation figures are presented with no explanation. Again, these might change if rates or policies change over the period.

The spot rate of exchange was given – it was assumed that this had been picked up from a reliable source. In the future, it was assumed that the exchange rates would change according to purchasing power parity. There are two problems with this. First, it is unlikely that inflation rates alone will impact exchange rates over time; other macroeconomic forces will also play a part. Second, there is no guarantee that the forecast inflation rates used in the calculations will turn out to be correct.

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### **Black Scholes Option Pricing calculations**

The Black Scholes Option Pricing model was developed for valuing European-style financial options (i.e. those that can only be exercised on the date when the option expires). Real options are usually considered to be more aligned with American-style options, which can be exercised at any time until a given expiry date. In using the model here, we are assuming (perhaps incorrectly) that this real option is a European-style option.

When calculating the value of the follow-on project, it was assumed that the risk free rate and volatility are accurate and will stay constant. Also, when using the Black Scholes Option Pricing model, the assumption is that project cash flows are normally distributed. These assumptions may not hold true, and volatility in particular is very difficult to estimate accurately.

Finally, there are no workings given to show where the investment figure or the future free cash flow figures for the follow on project have been derived. If there were errors in the estimates, it would be impossible to see from the information presented here.

### **Other factors to consider before making a final decision**

Flontland has a different currency from Madonk, and it might have a different language, time zone, culture etc. Before investing in Flontland, Durank Co will need to make sure it understands the potential impact of this. Experts in the culture of Flontland should be employed to help smooth out any cultural issues.

Investing in Flontland will expose Durank Co to political risks. The company needs to assess how likely it is that the Flontland government will change during the next few years. For example, a new government may change tax rates and remittance rules, and bring in new restrictions. The current financial forecasts have been prepared on the basis that positive cash flows from Flontland can all be remitted back to Madonk.

There also could be ethical and environmental issues to consider when investing in a different country. Average wage rates and environmental legislation could be different in Flontland from what Durank Co is used to in its home country. Durank Co will have to disclose any different policies in its annual integrated report, so the company needs to think carefully about how any changes will be perceived. If Durank Co takes advantage of lower wage rates or less stringent environmental laws to make money in Flontland, it could upset the existing stakeholders.

The original calculations considered a follow-on real option, but there may be other real options too (such as an option to abandon if things aren't working out). If other real options can be identified and valued, this could make the project even more appealing.

## Conclusion

The strategic NPV of the Flontland project is positive, so the project is financially viable. However, before making a final decision on whether to go ahead, there are lots of other factors to consider such as cultural, ethical and environmental issues.

Also, the calculations were based on a number of assumptions, so some sort of simulation or sensitivity analysis would be useful to identify the particularly important assumptions that might need to be investigated further.

**Note:** Credit will be given for alternative relevant discussion.

## Appendix

### Appendix 1 Cost of capital (part b(i))

Assume Kloonish Co can be used a suitable proxy, so degear then regear its given equity beta to strip out that company's gearing and adjust for Durank Co's.

#### Kloonish Co

Value of equity = 100m shares  $\times$  \$2.40 = \$240m

Value of debt = \$75m of bonds  $\times$  (\$106/\$100) = \$79.5m

Tax rate is 30%

Equity beta = 1.57

Assume debt beta is zero.

Asset beta =  $1.57 \times 240m / (240m + (70\% \times 79.5m)) = 1.27$

#### Durank Co

Value of equity = 200m shares  $\times$  \$3 = \$600m

Value of debt = \$100m of bonds  $\times$  (\$110/\$100) = \$110m

Equity beta (regear) =  $1.27 \times (600m + (0.70 \times 110m)) / 600m = 1.43$

#### Weighted average cost of capital

CAPM model – calculate Durank Co's cost of equity

$k_e = 3\% + (1.43 \times 5\%) = 10.15\%$

Use 'A' rating credit spread to calculate Durank Co's cost of debt

$k_d = 3\% \text{ (risk free)} + 0.55\% \text{ (credit spread)} = 3.55\%$

$k_d(1-t) = 0.70 \times 3.55\% = 2.49\%$

$WACC = (10.15\% \times 600m/710m) + (2.49\% \times 110m/710m) = 8.96\%$ , say 9%

**Appendix 2 NPV of Flontland project (part b(ii))**

| FF millions                      | T0      | T1      | T2      | T3      | T4      |
|----------------------------------|---------|---------|---------|---------|---------|
| Revenue (given)                  |         | 230     | 250     | 285     | 260     |
| Costs (given)                    |         | (180)   | (199)   | (224)   | (202)   |
| TAD (given)                      |         | (10)    | (10)    | (10)    | (70)    |
| Cost of component (W1)           |         | (21.05) | (22.72) | (26.59) | (24.06) |
| Taxable profit                   |         | 18.95   | 18.28   | 24.41   | (36.06) |
| Tax at 10%                       |         | (1.90)  | (1.83)  | (2.44)  | 3.61    |
| Add back TAD                     |         | 10      | 10      | 10      | 70      |
| Investment                       | (200)   |         |         |         |         |
| Residual value                   |         |         |         |         | 100     |
| Total (FF millions)              | (200)   | 27.05   | 26.45   | 31.97   | 137.55  |
| Exchange rates (W2)              | 4.25    | 4.21    | 4.13    | 4.09    | 4.01    |
| Converted \$m                    | (47.06) | 6.43    | 6.40    | 7.82    | 34.30   |
| Contribution from component (W1) |         | 1.40    | 1.54    | 1.82    | 1.68    |
| Extra tax (W3)                   |         | (0.90)  | (0.88)  | (1.19)  | 1.80    |
| Free cash flows (\$m)            | (47.06) | 6.93    | 7.06    | 8.45    | 37.78   |
| DF 9%                            | 1       | 0.917   | 0.842   | 0.772   | 0.708   |
| PV (\$m)                         | (47.06) | 6.35    | 5.94    | 6.52    | 26.75   |

**Net present value = –\$1.5 million (negative NPV)**

**(W1) Component cash flows**

|                                    |                             | T1    | T2    | T3    | T4    |
|------------------------------------|-----------------------------|-------|-------|-------|-------|
| Units (m)                          | (A)                         | 10    | 11    | 13    | 12    |
| Fixed price (\$)                   | (B)                         | 0.50  | 0.50  | 0.50  | 0.50  |
| X rate (W2)                        | (C)                         | 4.21  | 4.13  | 4.09  | 4.01  |
| Price in FF                        | (D) = (B) × (C)             | 2.105 | 2.065 | 2.045 | 2.005 |
| Total cost in FF millions          | (A) × (D)                   | 21.05 | 22.72 | 26.59 | 24.06 |
| Post tax contribution to parent co | (A) × (B) × 40% × (1 – 30%) | 1.40  | 1.54  | 1.82  | 1.68  |

**(W2) Exchange rates using Purchasing Power Parity theory**

|                                  | T0   | T1                 | T2                 | T3                 | T4                 |
|----------------------------------|------|--------------------|--------------------|--------------------|--------------------|
| Spot exchange rate (FF...to \$1) | 4.25 |                    |                    |                    |                    |
| Flontland inflation              |      | 5%                 | 4%                 | 3%                 | 2%                 |
| Madonk inflation                 |      | 6%                 | 6%                 | 4%                 | 4%                 |
| PPP multiple                     |      | $\times 1.05/1.06$ | $\times 1.04/1.06$ | $\times 1.03/1.04$ | $\times 1.02/1.04$ |
| Exchange rate                    |      | 4.21               | 4.13               | 4.09               | 4.01               |

**(W3) Extra tax payable**

|                            | T0 | T1     | T2     | T3     | T4      |
|----------------------------|----|--------|--------|--------|---------|
| Taxable profit (FF m)      |    | 18.95  | 18.28  | 24.41  | (36.06) |
| Exchange rate              |    | 4.21   | 4.13   | 4.09   | 4.01    |
| Taxable profit (\$m)       |    | 4.50   | 4.43   | 5.97   | (8.99)  |
| Extra tax at 20% (30%–10%) |    | (0.90) | (0.88) | (1.19) | 1.80    |

**Appendix 3 Value of follow-on project (part b(iii))**

Value of follow-on project – the Black-Scholes Option Pricing model is used to value the call option.

Variables:

Current price ( $P_a$ ) = \$14.16m (see W4 below)

Exercise price ( $P_e$ ) = \$10m

Exercise date = 4 years

Risk free rate = 3%

Volatility = 20%

From the BSOP calculator spreadsheet, we can read off the following values:

$d_1 = 1.3696$

$d_2 = 0.9696$

$N(d_1) = 0.9146$

$N(d_2) = 0.8339$

Value of call option = \$5.55 million

Value of put option = \$0.26 million

The option in this case is a call option.

**(W4) Value of cash flows generated by the follow-on project (Pa)**

|                           | T4 | T5    | T6    | T7    | T8    |
|---------------------------|----|-------|-------|-------|-------|
| Post-tax FCF (\$ million) |    | 7     | 9     | 5     | 3     |
| DF 9%                     |    | 0.650 | 0.596 | 0.547 | 0.502 |
| PV                        |    | 4.55  | 5.36  | 2.74  | 1.51  |

Total PV of future cash flows (\$m) = \$14.16 million

**Answer # 2**

- (a) The directors expect that post tax synergies of \$2.98 million per year will be achieved. When combining a grocery wholesaler and a retailer (supermarket) company, the likely sources of this synergy are discussed below.

Arnison Co is a large listed company and Birks Co is a smaller unlisted company. It is therefore likely that Arnison Co will have been able to attract highly qualified and competent managers. They might be able to identify inefficiencies in the way the smaller company is run that can be improved after the acquisition.

Also, these Arnison Co managers might have better strategic planning skills and knowledge of potential investment and financing opportunities, to again help to improve the performance of Birks Co.

If the future cash flow streams of the two companies are not perfectly positively correlated then by combining the two companies the variability of their operating cash flows may be reduced. A more stable cash flow is more attractive to creditors and this could lead to cheaper financing costs.

A bigger company, with operations in both wholesaling and retailing, will have greater bargaining power with its suppliers (the food manufacturing companies), so might be able to negotiate cheaper supplies to improve profit margins.

A wholesaler taking over a retailer is an example of vertical integration. This can increase profits by 'cutting out the middle man', improving control of purchasing and logistics, and by avoiding disputes with what were previously suppliers or customers.

Economies of scale can reduce costs when two companies combine. For example, there will be savings on duplicated central services such as management costs and head office costs, and also the fixed operating and administration costs will be absorbed over a higher volume of activity, bringing unit costs down even further.

Economies of scope might also arise – for example savings in marketing costs created by joint advertising campaigns.

**Note:** Credit will be given for alternative relevant discussion.

- (b) Percentage gains to shareholders under each of the two offers are expected to be:

|                | Arnison Co | Birks Co |
|----------------|------------|----------|
| Cash offer     | 9.3%       | 14.8%    |
| Share exchange | 2.9%       | 31.9%    |

The detailed workings are shown below.

**Workings:**

**Company values**

**Arnison Co**

100m shares × \$3.35 each = \$335 million

**Birks Co**

Using P/E method for valuation

Value = P/E ratio × Earnings

Where P/E ratio = 90% × Arnison Co's P/E = 90% × (\$3.35/(\$27.92m/100m)) = 90% × 12 = 10.8

So value = 10.8 × \$11.61m = \$125.4 million

(or \$125.4m/60m = \$2.09 per share)

**Combined company**

Using P/E method for valuation

Value = P/E ratio × Earnings

= 12 × (\$27.92m + \$11.61m + \$2.98m) = \$510.1 million

Total synergy gain created by the acquisition = \$510.1m – \$125.4m – \$335m = \$49.7 million

**Evaluation of the two offers**

**Cash offer**

Offer is \$2.40 per share and Birks Co shares are currently worth \$2.09 (see above)

Gain is therefore \$2.40 – \$2.09 = \$0.31 per share, or \$0.31 × 60m = \$18.6 million in total

|         | Arnison Co                                      | Birks Co                     | Total                   |
|---------|-------------------------------------------------|------------------------------|-------------------------|
| \$ gain | \$31.1m (balancing figure<br>\$49.7m – \$18.6m) | \$18.6m (from<br>above)      | \$49.7m (from<br>above) |
| % gain  | 9.3%                                            | 14.8%                        |                         |
|         | (being \$31.1m/\$335m)                          | (being \$18.6m/<br>\$125.4m) |                         |

### Share for share exchange

A 4 for 5 offer means that  $(4/5) \times 60\text{m} = 48$  million new shares will be issued.

Total shares in issue will now be 148 million (100m + 48m)

Value attributable to original Arnison Co shareholders =  $(100/148) \times \$510.1\text{m} = \$344.7\text{m}$

Value attributable to original Birks Co shareholders =  $(48/148) \times \$510.1\text{m} = \$165.4\text{m}$

|         | Arnison Co                    | Birks Co                         | Total                |
|---------|-------------------------------|----------------------------------|----------------------|
| \$ gain | \$9.7m<br>(\$344.7m – \$335m) | \$40.0m<br>(\$165.4m – \$125.4m) | \$49.7m (from above) |
| % gain  | 2.9%                          | 31.9%                            |                      |
|         | (being \$9.7m/\$335m)         | (being \$40.0m/<br>\$125.4m)     |                      |

### Position of Arnison Co shareholders

The Arnison Co shareholders make a smaller percentage gain than the Birks Co shareholders under both the offers. This is very common in acquisitions though. A larger premium usually has to be offered to the target company shareholders as an incentive to encourage them to sell their shares.

At first glance, it would seem that the Arnison Co shareholders will prefer the cash offer, because it gives the higher percentage gain. However, a cash offer will need funding. This will mean that either Arnison Co might use its existing cash balance, or it might have to borrow more money to fund the purchase. Both of these alternatives create extra risk for the existing shareholders (less cash available for future investment or dividends, or higher gearing and interest commitments).

On the other hand, a share exchange gives a very low percentage gain and will dilute the shareholding of the existing Arnison shareholders, so that looks very unattractive in this case.

### Position of Birks Co shareholders

The Birks Co shareholders will make a smaller percentage gain under the cash offer, and the gain is also lower than the average market premium of 20% that has been common in the industry recently. This suggests that the cash offer will be unacceptable to the Birks Co shareholders.

In one way though, the cash offer might be preferable to the share exchange. The cash offer value is transparent and known. Under the share exchange, we have estimated the likely value of the offer by estimating the synergy and expected value of the combined company. There is no guarantee that these synergies will be achieved.

Another thing to consider is the preference of Birks Co shareholders – whether they prefer to take cash now and cut their ties with the company completely, or take shares in the combined company and remain shareholders of the larger combined company.

Perhaps to deal with all these issues and to present a package which will appeal to all shareholders, Arnison Co should offer a choice of cash or shares as part of the acquisition offer.

**Note:** Credit will be given for alternative relevant discussion.

### Answer # 3

- (a) Transaction: we need to borrow \$10 million on 31 October (i.e. in 5 months' time) for a period of six months.

#### Futures hedge

Set up the hedge by addressing three key issues:

- 1 Borrowing, so sell futures (go short) now
- 2 Number of contracts is  $(\$10 \text{ million} / \$1 \text{ million}) \times (6 \text{ months} / 3 \text{ months}) = 20$  contracts
- 3 Futures expiry date will have to be December (both June and September contracts will have already expired by our transaction date)

Therefore, we need to contact the exchange and tell the traders we want to SELL 20 DECEMBER futures contracts.

#### Basis working

|               | Now (1 June)                         | Transaction<br>(31 Oct)    | Expiry (31 Dec) |
|---------------|--------------------------------------|----------------------------|-----------------|
| Base rate     | 4%                                   |                            |                 |
|               |                                      |                            |                 |
| Futures price | 95.16                                |                            |                 |
| Basis         | 0.84%<br>(i.e. $(100 - 4) - 95.16$ ) | (2/7) unexpired<br>= 0.24% | 0               |

Closing futures prices can now be calculated by incorporating this unexpired basis:

If base rate rises to 5%:

Closing futures price =  $(100 - 5) - 0.24 = 94.76$

If base rate falls to 3%:

Closing futures price =  $(100 - 3) - 0.24 = 96.76$

#### Result of futures hedge

If base rate rises to 5%

|                  |                                       | \$        |
|------------------|---------------------------------------|-----------|
| Interest payable | $5.2\% \times \$10m \times (6/12)$    | (260,000) |
| Futures market   |                                       |           |
| Sell at          | 95.16                                 |           |
| Close out: buy   | 94.76                                 |           |
| Movement         | 0.40% gain                            |           |
|                  | $\times 20 \times \$1m \times (3/12)$ | 20,000    |
| Total \$         |                                       | (240,000) |
| Effective % rate |                                       | 4.80%     |

If base rate falls to 3%

|                  |                                       | \$        |
|------------------|---------------------------------------|-----------|
| Interest payable | $3.2\% \times \$10m \times (6/12)$    | (160,000) |
| Futures market   |                                       |           |
| Sell at          | 95.16                                 |           |
| Close out: buy   | 96.76                                 |           |
| Movement         | 1.60% loss                            |           |
|                  | $\times 20 \times \$1m \times (3/12)$ | (80,000)  |
| Total \$         |                                       | (240,000) |
| Effective % rate |                                       | 4.80%     |

### Collar hedge

For a borrowing, we sell futures, or buy put options.

Therefore, to set up a collar we buy put options and simultaneously sell call options.

Using the given strike prices, we'll need to buy 20 December put options at 95.00 and simultaneously sell 20 December call options at 95.50.

### Premium

Premium payable on put options =  $0.25\% \times 20 \times \$1m \times (3/12) = \$12,500$

Premium receivable on call options =  $0.22\% \times 20 \times \$1m \times (3/12) = \$11,000$

Net premium payable =  $12,500 - 11,000 = \$1,500$

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### Result of collar hedge

If base rate rises to 5%

|                                                          |                                              | \$        |
|----------------------------------------------------------|----------------------------------------------|-----------|
| Interest payable                                         | (as above)                                   | (260,000) |
| Futures market – our puts                                |                                              |           |
| Can choose to sell at                                    | 95.00                                        |           |
| Close out: buy                                           | 94.76                                        |           |
| Movement                                                 | 0.24% gain – so EXERCISE                     |           |
|                                                          | $\times 20 \times \$1\text{m} \times (3/12)$ | 12,000    |
| Futures market – calls we have sold to counterparty (CP) |                                              |           |
| CP can choose to buy at                                  | 95.50                                        |           |
| Close out: CP will sell                                  | 94.76                                        |           |
| Movement                                                 | 0.74% loss – so CP will LAPSE                | 0         |
| Premium                                                  | (as above)                                   | (1,500)   |
| Total \$                                                 |                                              | (249,500) |
| Effective % rate                                         |                                              | 4.99%     |

If base rate falls to 3%

|                                                          |                                              | \$        |
|----------------------------------------------------------|----------------------------------------------|-----------|
| Interest payable                                         | (as above)                                   | (160,000) |
| Futures market – our puts                                |                                              |           |
| Can choose to sell at                                    | 95.00                                        |           |
| Close out: buy                                           | 96.76                                        |           |
| Movement                                                 | 1.76% loss – so LAPSE                        | 0         |
| Futures market – calls we have sold to counterparty (CP) |                                              |           |
| CP can choose to buy at                                  | 95.50                                        |           |
| Close out: CP will sell                                  | 96.76                                        |           |
| Movement                                                 | 1.26% gain – so CP will EXERCISE             |           |
|                                                          | $\times 20 \times \$1\text{m} \times (3/12)$ | (63,000)  |
|                                                          | (gain to CP, means loss to us)               |           |
| Premium                                                  | (as above)                                   | (1,500)   |
| Total \$                                                 |                                              | (224,500) |
| Effective % rate                                         |                                              | 4.49%     |

### Comments

The futures hedge will lock the interest rate to 4.80%. This would be the preferred approach if the finance manager wants to completely eliminate the risk associated with interest rate movements.

Having said that, the calculation assumes that there is no basis risk (i.e. that basis will diminish to zero before expiry date in a linear manner). In reality, the basis might move in a less predictable way, meaning that the unexpired basis might not be exactly 0.24% on 31 October, and there could be some inefficiency within the futures hedge.

Also, the calculation here has ignored the margin requirements associated with futures contracts. Margins mean that the day-to-day monitoring and processing associated with futures contracts is more complex than we have shown here, even though ultimately they don't affect the financial result of the hedge.

The collar hedge is complex to set up (and more complex than a traditional option) but it enables the company to benefit to some extent from favourable interest rate movements while also protecting from downside risk.

The calculations show that the premium is very small, so the flexibility afforded by the collar looks attractive.

Whether the finance manager chooses a futures hedge or a collar comes down to the company's attitude to risk. Does the company want to pay a small premium to give some flexibility (collar) or use the cheaper approach (futures) to eliminate risk (almost) completely?

**Note:** Credit will be given for alternative relevant discussion.

### (b) Advantages of centralised treasury

Centralising the treasury function would mean that more highly qualified staff could be employed, so their expertise would be better. There would no longer be a duplication of roles (and higher costs) in each of the company's business units.

Furthermore, because the company's net position would be better understood, there might be further cost savings by netting off surpluses and deficits to avoid high interest charges and/or expensive hedging techniques.

The centralised function would be closer to the group's management, so would better understand the group's strategic objectives. There would be greater goal congruence. At the moment, the finance manager in the South Asian subsidiary isn't sure what the authorisation limits are for setting up an options hedge. The chance of this happening would be much lower with a centralised treasury function.

A centralised treasury function, operated by highly skilled staff, could also be run as a profit centre with the objective to create wealth for the company through clever use of derivative products.

### Disadvantages of centralised treasury

The centralised treasury function would be less responsive to problems arising in individual subsidiaries. At the moment, the finance manager of each business unit works in the business unit and has a good knowledge of its specific, day-to-day requirements.

Removing this responsibility from local staff and taking it to a centralised function would reduce the autonomy of the individual business units. This would reduce the motivation of local staff and perhaps cause them to leave.

**Note:** Credit will be given for alternative relevant discussion.